Responding to Innovation Paradoxes

Four Ways to Turn Competing Convictions into Opportunities

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Understanding the Tension Is Not Enough

Imagine returning to the management team we met in the first article of this series. The Head of R&D believes that innovation should be driven primarily by distinctive organisational capabilities. The Commercial Director believes that customer needs and market opportunities should lead. Their competing convictions represent Capability Push versus Market Pull.

The team now understands why both perspectives matter. New capabilities can create opportunities that customers cannot yet imagine, while technically impressive solutions may fail to create meaningful customer value. But understanding has not resolved the disagreement. R&D still wants to invest in technological possibilities. The commercial team still wants to direct resources towards demonstrated demand. (Andriopoulos & Lewis, 2009; Klokgieters, 2020).

A compromise might divide the budget or encourage closer cooperation. Yet it may leave the underlying question untouched: how should the organisation respond when two legitimate convictions each claim primacy? Innovation Paradox Thinking offers four distinct directions: Integration, Contextual Differentiation, Dynamic Alternation and Explore a Synthesis. Each changes the way an organisation works with the tension.

1. Integration: Making Both Perspectives Contribute

Integration brings both convictions into a shared innovation activity. Consider an industrial equipment manufacturer seeking to reduce unplanned machine downtime. It establishes a multidisciplinary project to develop predictive maintenance functionality. Engineers contribute sensors and diagnostics; software specialists develop analytical models; service and commercial colleagues bring failure experience and customer needs. Both Capability Push and Market Pull shape the solution. (O'Reilly & Tushman, 2013).

The project aims to deliver a working predictive maintenance solution within agreed scope, budget and timing. People and resources are temporarily allocated from existing departments. When the solution is transferred into regular operations, the project ends and resources are reassigned. Both convictions have contributed, but the underlying functional organisation remains intact.

The underlying functional structure remains the principal mechanism for developing and allocating capabilities. Integration can also occur in standing cross-functional arrangements, provided the existing organisational logic remains essentially intact. Its strength is the ability to combine complementary expertise without redesigning the organisation. Its limitation is that collaboration does not automatically settle disputes about which perspective should prevail when priorities conflict.

The central question: How can both convictions contribute meaningfully to the same innovation activity?

2. Contextual Differentiation: Different Circumstances, Different Priorities

Contextual Differentiation recognises that different situations may justify giving one conviction greater influence. For established products, customers can articulate problems and the company can evaluate improvements against known requirements. Here, Market Pull may reasonably take precedence.

For exploratory research into emerging technologies, applications may not yet be understood. Requiring immediate customer evidence could prematurely eliminate promising opportunities. Here, Capability Push may deserve greater freedom. The organisation therefore adopts different approaches for different innovation contexts rather than demanding the same balance everywhere.

The challenge is to establish clear boundaries. When is an initiative genuinely exploratory? When should market evidence become decisive? Who resolves disputes about classification? Contextual Differentiation works when the criteria for assigning primacy are explicit and credible.

The central question: Under which circumstances should each conviction take precedence?

3. Dynamic Alternation: Changing Priorities as Evidence Develops

Dynamic Alternation deliberately changes which conviction leads as new evidence or conditions emerge. Imagine that engineers identify a capability with several possible applications. Initially, Capability Push leads because the opportunity is still technologically uncertain. The team develops demonstrations and explores potential uses.

Customer research then reveals that the most technically impressive application addresses only a minor problem, while a less obvious application could create substantial customer value. The organisation shifts towards Market Pull to redefine the opportunity. Later, new technical barriers may justify renewed emphasis on capability development.

This is more than the routine sequence of research, development and marketing. The distinctive feature is a deliberate shift in primacy triggered by evidence and reassessment. Without clear triggers, repeated changes can create confusion and weaken commitment. With appropriate discipline, alternation allows the organisation to respond to uncertainty without permanently privileging either conviction.

The central question: When should the leading perspective change, and what evidence should trigger that change?

4. Explore a Synthesis: Rethinking How Innovation Is Organised

Explore a Synthesis challenges the organisational assumptions beneath the original opposition. Under Integration, our manufacturer develops a predictive maintenance solution through a temporary project. But the customer ultimately wants more than a new feature: reliable production with as little unplanned downtime as possible. What if the company organised innovation around that continuing value rather than around successive product-development projects?

The company could explore a semi-permanent organisational capability with a concrete mission: Continuously maximise customer equipment uptime. Engineering, software, data analytics, service and customer knowledge would be brought together to keep identifying and delivering improvements in equipment availability. The capability might develop predictive maintenance, remote diagnostics or changes to service delivery. Unlike the project, it would continue only while it could demonstrate meaningful, economically sustainable value creation.

The difference is not simply that the team lasts longer. The project delivers a solution; the capability is accountable for continuing customer outcomes. Resources, leadership, decision rights and performance measures would therefore need to follow the value mission. Project completion might be measured by delivery of the predictive maintenance system; the capability would be judged by outcomes such as equipment availability and reduced unplanned downtime. Neither Capability Push nor Market Pull automatically takes primacy: the customer-value mission guides how both are developed and combined.

A permanent multidisciplinary team is not automatically a synthesis, however. The organisation must establish that the new arrangement genuinely challenges the original claims to primacy and offers a different organising logic. It must also test whether the resulting benefits justify its complexity. An effective Integration approach may prove preferable. This is why synthesis is something to explore, not to proclaim.

The central question: Could innovation be organised around enduring value-creating capabilities rather than repeatedly assembled projects?

Four Responses, Four Different Logics

The four responses are alternatives, not steps in a maturity ladder. Integration is not inferior to synthesis. Contextual Differentiation and Dynamic Alternation offer distinct ways to assign and change primacy. Different responses may also coexist across an innovation portfolio.

Response	Organising logic	Illustration
Integration	Shared work within existing structures	Temporary multidisciplinary innovation project
Contextual Differentiation	Primacy varies by context	Market-led improvements; capability-led exploration
Dynamic Alternation	Primacy shifts with evidence	Leadership moves between capability and market evidence
Explore a Synthesis	New enduring capability around value creation	Semi-permanent value-creating capability

What matters is not selecting the most sophisticated-sounding response, but understanding the different organisational choices each implies. Integration normally works through existing functions and project arrangements. Contextual Differentiation requires clear contextual criteria. Dynamic Alternation needs evidence-based triggers for shifting priorities. Synthesis exploration may demand a fundamentally different way to organise resources and accountability.

From Possible Responses to Strategic Choices

Our management team now has four ways of responding to Capability Push versus Market Pull. Each has potential benefits, uncertainties and implementation demands. Should the company improve collaboration in its current projects? Give different innovation contexts different priorities? Shift primacy as evidence develops? Or explore a lasting capability organised around customer value?

The most feasible response may not offer the greatest long-term potential. A promising new organising principle may require capabilities the organisation does not yet possess. More than one response may be worth pursuing, but not with equal urgency or investment.

Which response deserves priority? That question cannot be answered by analysing the paradox or understanding the four directions alone. It requires strategic judgement.

In Part 3, Choosing How to Respond to Innovation Paradoxes, we will follow a management team as it evaluates the four directions, considers value creation potential and ease of implementation, and makes strategic choices about organisational action and learning. Understanding the options is only the beginning. The leadership challenge is deciding which possibilities deserve priority, and why.

ABOUT THIS SERIES | Innovation Paradox Thinking is a three-part series exploring how leaders can understand competing convictions, examine possible responses and make strategic choices that support organisational value creation. Part 2 builds on the Analysis Canvas introduced in Part 1. Examples are illustrative, not empirical case studies.

At a Glance | Four Response Directions

A visual companion to Part 2. The diagram illustrates four distinct response logics. The concrete example in the article contrasts a predictive-maintenance project with a continuing equipment-uptime capability; the visual is schematic rather than a depiction of that example.

About the Author

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Through InnoPlot, he supports organisations and their leaders in translating strategic challenges into innovation capabilities, organisational change and measurable impact.

InnoPlot | Business & Technology Innovation (innoplot.com)

Selected references

Andriopoulos, C., & Lewis, M. W. (2009). Exploitation-exploration tensions and organizational ambidexterity: Managing paradoxes of innovation. *Organization Science*, *20*(4), 696–717. https://doi.org/10.1287/orsc.1080.0406

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Main visual | Innovation Paradox Thinking



Series visual | Part 2 of 3